

SENATE BILL 2731

By Stevens

AN ACT to amend Chapter 541 of the Private Acts of 1939; as amended and rewritten by Chapter 32 of the Private Acts of 1999; and any other acts amendatory thereto, relative to Benton County.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Chapter 541 of the Private Acts of 1939, as amended and rewritten by Chapter 32 of the Private Acts of 1999, and any other acts amendatory thereto, is amended by deleting the chapter and substituting:

Section 1. The purpose of this Act is to provide Benton County with a modern and efficient system for the management of County finances, including, but not limited to, budgeting, investment oversight, debt management, and cash management oversight.

Section 2.

The following definitions apply to the terms used in this Act:

(1) The term "budget" shall mean the appropriation of money appropriated by the County Legislative Body for each department or activity of Benton County for the period shown by the adoption of the budget by the County Legislative Body and any appropriation authorized by statute.

(2) The term "official of the county" shall mean any official authorized by the County Legislative Body or the statutes of the State of Tennessee to draw from the Trustee and expend money of Benton County.

(3) The term "budget committee" shall mean a committee of five (5) members appointed by the County Legislative Body of Benton County as hereinafter provided.

(4) The term "expenditure" or "expend" shall mean the act of committing Benton County to expend monies then and there in the Office of the County Trustee or to come into the office of the County Trustee of Benton County.

(5) The term "obligation" shall mean a legal commitment that will result in a future payment by Benton County.

(6) The term "County Legislative Body" shall mean the County Legislative Body of Benton County, Tennessee.

Section 3. The Budget Committee shall consist of not more than five (5) members of the County Legislative Body, who shall be appointed by the Chairman and confirmed by the County Legislative Body. The Budget Committee is to receive as compensation for their services in the preparation and supervision of the making of the budget a per diem fee as set by the County Legislative Body each fiscal year. The Budget Committee shall have the power and authority to employ such help and assistance as may be necessary to properly prepare and work out the budget and to do the matters in connection with said work and in preparation of said budget, as required by this Act, and to fix the wages or pay for the services of such help and assistance as may be employed for that purpose and approved by the County Legislative Body.

Section 4. Immediately after the second Monday of March, the Budget Committee of Benton County shall begin the preparation of a budget, containing a complete plan, itemized and classified according to function and activity of all proposed expenditures and all estimated revenues by sources, including borrowings by or for the county, for the ensuing appropriation year, which shall begin on the first day of July of each year, or at such other date as may be provided for by law, for the beginning of the

appropriation year. Opposite each item of proposed expenditure, the budget shall show in separate parallel columns the amount appropriated for the preceding appropriation year, the amount expended during that year, the amount appropriated for the current appropriation year, and increases and decreases in the proposed expenditures for the ensuing year as compared with the appropriation for the current year. This budget shall be accompanied by a statement of the contemplated revenues, including borrowings, of Benton County for the ensuing appropriation year; and an itemized and complete financial balance sheet of each fund account of Benton County, at the close of the last preceding appropriation year.

Section 5. A brief synopsis of the budget, as prepared by or under the supervision of said Budget Committee, shall be posted at one (1) or more public places in said county, including the bulletin board at the courthouse door, and a copy thereof shall be furnished to each County Legislative Body member and notice given of one (1) or more public hearings, at least five (5) days prior to the date of such hearing, at which citizens of said county shall have the right to attend and state their views thereon. The Budget Committee shall submit said budget with current notes in the margin to the County Legislative Body at such time as will allow the County Legislative Body to adopt the budget at or prior to the July meeting with recommendation for adoption of said budget as may be agreed upon by the committee. However, it shall not be mandatory upon the County Legislative Body to adopt the budget recommended by the Budget Committee, but if said budget is not adopted, it will be sent back to the Budget Committee up to two (2) times, and the Budget Committee will review and make recommendations back to the County Legislative Body within five (5) days. If the budget fails the third time, the County Legislative Body shall prepare and adopt a budget of its own, using the budget estimate as a basis, but appropriating such sums as the County Legislative Body may deem proper for the expenses listed under subdivision (2) of Section 6 of this Act, whether greater or less than the budget estimate, but no

appropriation recommended by the budget estimate under subdivisions (1) and (3) of Section 6 of this Act shall be reduced by the County Legislative Body, and the taxes levied for such appropriations may be over and above all other taxes authorized or limited by law, and the County Legislative Body shall, by appropriate order, adopt and enter upon the minutes of the County Legislative Body a budget covering all expenditures for the county for the next appropriation year, itemized and classified as required by Sections 5 and 6 of this Act. The County Legislative Body can however increase OR reduce any line item as long as they follow the state rules concerning the "Maintenance of effort" expenditures, and pay schedules set by the state. It shall be mandatory upon the County Legislative Body to adopt a resolution or fix a tax rate, levying upon all property subject to taxation within the county, and basing such levy upon the current tax collection experience of the preceding fiscal year, such rate of tax as may be required to produce the sum necessary to balance the budget upon an available fund balance. In order that the current tax levy shall be truly based upon the current tax collection experience of the preceding year, such current tax levy shall be determined by dividing the sum necessary to be raised in order to balance the budget, by a percentage which does not exceed the percentage obtained by dividing the amount of current taxes collected in cash in the preceding fiscal year by the amount of the taxes levied and payable in such preceding fiscal year. The budget should be approved on or before July 1, if possible. If not, the State Comptroller's Office may grant an extension after a showing of extraordinary circumstances, if it goes beyond August 31.

Section 6.

The sum necessary to balance the budget as provided in Section 5 of this Act, shall be ascertained by adding the appropriation included in said budget, which shall be as follows:

- (1) The full amount required for interest on the indebtedness of the county and for sinking funds for the retirement of the bonded

indebtedness of the county as it matures in an orderly and systematic financial manner, and for the principal payment of serial bonds maturing during the fiscal year.

(2) The amount of any cash deficit, being the sum of all outstanding and unpaid bills or other lawful obligations and all amounts payable to all special funds of the county at the close of the last preceding fiscal year incurred for debt or other lawful charges in connection with the operation of the county to the extent that such sums exceed the available fund balance and/or cash on hand or on deposit to the credit of the general funds of the county in relation to expenditures for strictly county general expenses, and the school, highway department and other funds, for those purposes, and by deducting them from, the estimate of the cash receipts to be available during the current year, from the taxes and miscellaneous revenue. Departments/offices can only spend funds that have been legally obligated.

(3) The Budget Committee of Benton County shall require the heads or other responsible representatives of all departments, divisions, boards, agencies, or offices of said county, to furnish such information as may be deemed advisable and, in such form, as may be required in relation to their respective affairs and activities. All departments shall provide the budget committee the number of authorized positions in their budget information, and this information shall be included in the final budget to the County Legislative Body.

(4) It shall be the duty of the Benton County School Board and County Director of Schools of Benton County, to prepare and file with the Budget Committee, an itemized statement or budget, as specified in Section 4 of this Act, and figured and ascertained in accordance with the

provisions of Sections 5 and 6 of this Act, of the funds which said board and Director of Schools estimate will be necessary for the maintenance and operation of the schools and expenses incident thereto for the year commencing the first day of July following the filing of such statement or budget, so that said school budget may be presented to the County Legislative Body by the Budget Committee along with the regular county budget.

Section 7. The County Legislative Body shall cause to be made out immediately preceding the July meeting or when budget is passed by said County Legislative Body in every year hereafter a statement showing the aggregate amount of the receipts and itemized disbursements of the twelve (12) month period ending on June 30. A copy of such statement shall be posted on the bulletin board at the courthouse door of said county.

Section 8. It shall be the duty of the County Mayor to install and maintain or to cause to be installed and maintained a set of accounts as prescribed by the County Legislative Body and this Act, classified according to functions and activities, which will at all times reveal the amount appropriated, the amount expended to date chargeable against such appropriations and the unexpended balance of such appropriations. Furthermore, it shall be the duty of every official of the county, before making an expenditure for any purpose, whether it be for personal services, contracted services, materials and supplies, equipment, bounties and claims, pensions and relief contributions, or debt service, to issue or cause to be issued to the County Mayor's office a requisition, and to receive from the County Mayor's office a purchase order, which among other things, shall show the unexpended balance of the appropriation against which such purchase order or requisition has been charged.

Section 9. If any official of Benton County who has the power, right, or authority to expend county funds from the County Trustee or funds coming into the County

Trustee from the State of Tennessee expends any sum in excess of the monies or funds actually in the County Trustee to the credit of the official's department of the county government or in excess of the budget adopted by the County Legislative Body covering that certain period of time as shown by the budget, such county official making any overdrafts of the County Trustee or commitment in excess of the amount appropriated for the specific purpose for which the expenditure was made by the County Legislative Body of Benton County, shall be personally liable, together with the sureties of his official bonds, to Benton County for such overdraft, and/ or the payee of any such warrant for the full amount of such overdraft or over-expenditure, and the county and/or payee of any such warrants, shall have a cause of action of debt to recover from such official or officials and their bondsmen, the amount of the overdraft or over-expenditure, with interest from the date of issuance of such warrants.

Section 10. Appropriations for which no provision was made in the budget as adopted, shall be made only from any unassigned fund balance resulting from an unappropriated balance of the tax rate, subject to approval by a two-thirds (2/3) majority vote of the County Legislative Body.

Section 11. Investing Idle County funds. The County Legislative Body shall establish and approve policies and procedures for investing idle cash funds in various investments in accordance with Tennessee Code Annotated, Section 5-8-301.

Section 12. The County Legislative Body, Budget Committee, or other officials, employees, or members of the Board of education or Highway Department, including spouses, shall not be financially interested or have any personal beneficial interest, either directly or indirectly, in the purchase of any supplies, materials, equipment or property for the county.

Section 13. Any official or employee under the employment of Benton County who is found to be in violation of this Act or fails to conform to the provisions of this Act commits official misconduct and is subject to removal from office or position. Under

Tennessee Code Annotated, Section 8-47-103, the county attorney is directed to investigate any complaint alleging that a county officer within their jurisdiction is guilty of any of the acts constituting official misconduct as set forth in Tennessee Code Annotated, Section 8-47-101, and upon determination of reasonable cause, to institute a proceeding in the appropriate court to oust such official.

Section 14. If any provision of this act or the application thereof to any person or circumstance is held invalid, such invalidity shall not affect other provisions or applications of the act which can be given effect without the invalid provision or application, and to that end, the provisions of this act are declared to be severable.

Section 15. Modification of Dates. The deadline dates as set forth in this Act may be necessary to update due to law changes and certain emergencies recognized by the State of Tennessee. When these events occur within the county, the County Legislative Body shall approve the changed date on a temporary basis and report the amended dates.

Section 16. Supersedes other Acts. Upon this Act becoming effective in Benton County, this Act shall supersede the provisions of any Private Act in conflict with this Act in Benton County, including any private acts, or amendments thereto, adopted by the County Legislative Body of Benton County before or after the date this Act becomes effective in Benton County.

SECTION 2. This act shall have no effect unless it is approved by a two-thirds (2/3) vote of the legislative body of Benton County. Its approval or nonapproval shall be proclaimed by the presiding officer of the legislative body and certified to the secretary of state.

SECTION 3. For the purpose of approving or rejecting the provisions of this act, it shall be effective upon becoming a law, the public welfare requiring it. For all other purposes, it shall become effective as provided in SECTION 2.